

Business Basics

10 Key Questions & Answers

1. What is a business plan?

A business plan is a written document outlining a company's goals, strategies, target market, and financial projections.

2. What is cash flow?

Cash flow is the movement of money in and out of a business. Positive cash flow means more money is coming in than going out.

3. What is a target market?

A target market is the specific group of customers a business aims to reach with its products or services.

4. What does ROI stand for?

ROI stands for Return on Investment — it measures the profit earned relative to the cost of an investment.

5. What is a sole proprietorship?

A sole proprietorship is a business owned and operated by one person, with no legal separation between the owner and the business.

6. What is gross profit?

Gross profit is revenue minus the cost of goods sold (COGS). It shows how efficiently a business produces or sells its products.

7. What is a startup?

A startup is a newly established business, typically in an early stage, focused on developing a scalable product or service.

8. What is market research?

Market research is the process of gathering information about customers, competitors, and industry trends to make informed business decisions.

9. What is a balance sheet?

A balance sheet is a financial statement showing a company's assets, liabilities, and equity at a specific point in time.

10. What is branding?

Branding is the process of creating a unique identity for a business through its name, logo, messaging, and overall image.

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